IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA)NO.85/BB/2017
u/s 230-232 read with Section 234 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMTION OF
ABC BEARINGS LIMITED
WITH
TIMKEN INDIA LIMITED

Order Delivered on: 14TH December 2017

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Timken India Limited,
39-42, electronic City, Phase II,
Hosur Road,
Bengaluru-560100. - **APPLICANT / TRANSFEREE COMPANY**

For the Petitioner(s): Shri.Perikal.K.Arjun, Advocate,
M/s J.Sagar Associates, Level 3, Prestige Obelisk,
3, Kasturba Road, Bengalauru-5670001- Advocates
for the Applicant Company.

Heard on : 28/11/2017 & 07/12/2017.

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - Author**

O R D E R

This Company Application is filed on behalf of the Applicant /Transferee Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order for:

a) convening meeting of the shareholders (through e-voting and postal ballot) and unsecured creditors of the Applicant Company for the purpose of considering the proposed Scheme and appoint a Chairman for such meetings;
b) dispense with convening meetings of the secured creditors and unsecured creditors below the value of Rs 10,00,000/- each of the Applicant company for the purpose of considering the proposed Scheme;
Or
Issue directions for convening the meetings of unsecured creditors below the value of Rs 10,00,000/- each, if any and appoint a Chairman for such meetings.

The averments made in the Company Application are briefly described hereunder:-

It is averred in the Company Application that, the Transferee Company was originally incorporated as a public limited company under the name and style of **TATA TIMKEN LIMITED** on 15th July 1987. The company changed its registered office from the State of West Bengal to the State of Bihar under the order of the Company Law Board, Eastern Region Bench on 21st September 1996 and the certificate of registration of order of the court confirming transfer of the registered office from one state to another was issued on 12th December 1996 by the Registrar of Companies, Bihar. Subsequently, the name of the Applicant Company was changed from "**Tata Timken Limited**" to "**Timken India Limited**" and obtained a fresh certificate of incorporation consequent on the change of name was issued to the Applicant Company on 2nd July, 1999. Subsequently, the Applicant Company changed its registered office from the State of Bihar (now Jharkhand) to the State of Karnataka and under the order of the Company Law Board, Eastern Region Bench on 9th September 2008 and the certificate of registration or order of the court confirming transfer of the registered office from one state to another was issued on 10th November 2008 by the Registrar of companies, Karnataka.

The Registered office of the Transferee Company is situated at # 39-42, Electronic City, Phase-II, Hosur Road, Bengalauru-560100.

The Transferee Company's objects as set out in its Memorandum of Association inter alia includes is stated hereunder:

i) To research and develop, manufacture, purchase for resale, sell, import and export, trade in, assemble, distribute, service, overhaul, mobile and whether functioning alone or in conjunction with one or more other machines), equipment or process.

ii) To act as a sales agent earning commission or any other form of remuneration in relation to the business activities of the company, to render any and all kinds of consultancy, advisory and technical services including, without limitation etc.,

The copies of Certificate of Incorporation and Memorandum and Articles of Association of the Applicant/Transferee Company are produced as **Annexure-A**.

The authorized share capital of the Applicant/Transferee Company as on 31st March 2017 is Rs. 75,00,00,000/- divided into 7,50,00,000 Equity Shares of Rs 10/- each. The 9% Cumulative Redeemable Preference Shares is Rs. 26,00,00,000/- divided into 26,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 68,01,51,340/- divided into 6,80,15,134 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance sheet and Profit and Loss Account of the Applicant / Transferee Company as on 31st March 2017 is produced as **Annexure-B.**

It is further averred that, the Transferor Company ABC Bearing Limited was incorporated on 30th May 1961 under the name and style as "**Antifriction Bearings Corporation Limited**". Subsequently, the name of the Transferor Company was changed to **ABC Bearings Limited** and obtained a fresh certificate of incorporation on 27th September 2002.

The Registered office of the Transferor Company is situated at 402-B, Poonam Chambers, Dr. A.B.Road, Mumbai-400018.

The Transferor Company is engaged in the business of engineering, product design, manufacturing, distribution and sale of bearings including inter alia taper roller bearings, cylindrical roller bearings, spherical roller bearings and slewing bearings and procurement, distribution and sale of other bearings, grease, oil and UJ Cross not manufactured by the Transferor Company but are sold by the Transferor Company under the "**ABC**" brand.

The authorized share capital of the Transferor Company as on 31st March 2017 is Rs. 12,00,00,000/- divided into 1,20,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 11,55,00,000/- divided into 1,15,50,000 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance sheet and Profit and Loss Account of the Transferor Company as on 31st March 2017 is produced as **Annexure-E.**

It is further stated that, the Board of Directors of the Applicant Company has approved and adopted a Scheme of Amalgamation at its meeting held on 4th July, 2017 by virtue of which **ABC Bearings Limited** (Transferor Company) to be merged with **Timken India Limited** (Applicant/Transferee Company) subject to confirmation. A copy of the Board Resolution of Applicant Company dated 4th July, 2017 in approving and adopting the Scheme of Amalgamation is shown as **Annexure-G.**

It is stated in the scheme that, the scheme would inter-alia, have the following benefits:

1. Both Transferor Company and Transferee Company intend to and achieve larger product portfolio, access new domestic and export markets, increase market share.
2. The Amalgamation would be beneficial to the respective shareholders, investors and creditors of the Transferor company and Transferee Company;

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company certified the number of shareholders of the Applicant Company as on 30th September, 2017. Certificate issued by the Chartered Accountant is marked as **Annexure-K.** It is further stated that there are 50,995 Equity Shareholders in the Applicant Company.

It is further stated that there are no Secured Creditors in the Applicant Company as certified by the Chartered Accountant shown as **Annexure-N**.

It is further stated that there is 431 Unsecured Creditors in the Applicant Company as certified by the Chartered Accountant shown as **Annexure-P.**

We have heard the Counsel appearing for the Applicant Company. The Application is filed by the Applicant Company which is a Transferee Company to direct that the meeting of Equity Shareholders and Unsecured Creditors of the Applicant Company be held for approving the Scheme of Amalgamation, where under **ABC Bearings Limited** (Transferor Company) to be merged with **Timken India Limited** (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-J.**

The Applicant is seeking an order to direct that the meeting of Equity Shareholders, and Unsecured Creditors of the Applicant Company be held for approving the Scheme of Amalgamation.

After hearing the counsel and after perusing the documents filed, we pass the following order.

The meeting of the Equity Shareholders of the Applicant Company be convened and held at **Tangerine Conference Hall, Lemon Tree Hotel, Plot No.54B/55A, Hosur Main Road, Electronic City, Phase 1, Bangalore-560100** on Thursday the 1st February, 2018 at 10:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation **ABC Bearings Limited** (Transferor Company) to be merged with **Timken India Limited** (Applicant/Transferee Company).

Mr. Sanjay Koul, Managing Director failing whom Mr. Avishrant Keshava, CFO & Whole-Time Director as proposed by the Applicant Company is appointed as Chairperson and Mr. Soumitro Hazra, Company Secretary as Scrutinizer for the Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs. 20,000/- and Rs.10,000/- respectively for convening the meeting of Equity Shareholders.

The meeting of the Unsecured Creditors of the Applicant Company be convened and held at **Tangerine Conference Hall, Lemon Tree Hotel, Plot No.54B/55A, Hosur Main Road, Electrionic City, Phase 1, Bangalore-560100** on Thursday the 1st February, 2018 at 2:00 P.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation **ABC Bearings Limited** (Transferor Company) to be merged with **Timken India Limited** (Applicant/Transferee Company).

Mr.Sanjay Koul, Managing Director failing whom Mr. Avishrant Keshava, CFO & Whole-Time Director as proposed by the Applicant Company is appointed as Chairperson and Mr. Soumitro Hazra, Company Secretary as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Creditors.

The quorum for the Meeting of Equity Shareholders is 30(thirty) as proposed by the Applicant Company.

The quorum for the Meeting of Unsecured Creditors is 3 (three) fixed by the Tribunal.

The Notice of the Meeting of Equity Shareholders and Unsecured Creditors shall be published in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Equity Shareholders and Unsecured Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Trade Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Equity Shareholders and Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

14/12/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

14.12.17

(RATAKONDA MURALI)
MEMBER, JUDICIAL